

Validating Rs. 4,722 Crores in disbursements and preventing Rs. 70.84 Crores in erroneous payments

A leading alumina mining and refinery company engaged Sthiros to run disbursement authorisation and prepayment compliance across its Rs. 6,500 Crore capacity expansion project.

Client

A Leading Alumina Mining & Refinery Company in India

Product Deployed

Disbursement Authorisation & Prepayment Compliance

Sector

Mining, Alumina Refinery

Geography

India

The Challenge:

When disbursement speed and validation rigour both have to win

As this client's Rs. 6,500 Crore capacity expansion moved into full execution, the volume and complexity of financial disbursements across hundreds of purchase orders created significant governance challenges. Tight timelines made it difficult to validate bills rigorously against PO terms while still giving management reliable, real-time financial data.



Tight Timelines Creating Validation Pressure

The pace of the expansion project demanded rapid disbursement decisions, making thorough bill validation against PO terms difficult without slowing execution.



Complex Project Finance Concepts

Liquidated damages, retentions, advances, and their subsequent adjustments each carried distinct treatment requirements affecting disbursement accuracy.



BOQ Verification on High-Value POs

Every disbursement on large, multi-line purchase orders had to be validated against the Bill of Quantities before payment.



Diverse Bill Types Requiring Specialised Handling

Project PO-based, Non-PO based, and Sustaining CapEx bills each carried distinct validation requirements and approval thresholds.



Risk of Financial Inaccuracies & Compliance Gaps

Without structured validation, the volume and variety of disbursements created significant risk of erroneous payments and over-disbursements.



Real-Time Management Reporting Requirements

Project leadership needed reliable, up-to-date financial data on disbursements, advances, and deductions that existing processes could not support.

The Solution:

A control-driven framework, built to move at project pace

Sthiros designed and operated an end-to-end Disbursement Authorisation and Prepayment Compliance framework, validating every bill against contractual terms, financial controls, and BOQ commitments.

Real-time monitoring and transparent reporting gave project finance leadership accurate, up-to-date disbursement data throughout a 4.5-year engagement.

The team has consistently demonstrated exceptional capability in ensuring timely validation of bills and upholding financial accuracy within our project finance function. The quality and reliability of their work has been central to the success of our disbursement governance, and their continued contributions have given us the confidence to extend this engagement multiple times.

The Methodology



Skilled Resource Deployment & Bill Type Expertise

A team deployed with deep expertise across every bill type, equipped with clarity on PO terms, LD provisions, retention clauses, advance structures, and BOQ requirements.



PO-Wise Validation Control Sheets

Dedicated control sheets established for each purchase order, tracking every processed bill, advance, and LD or retention deduction as a live governance record.



BOQ Verification & Contractual Compliance

The Bill of Quantities maintained and continuously updated, with every payment cross-checked against line items before disbursement.



Streamlined Data Management & Real-Time Reporting

Bill validation data, advances, and retention tracking consolidated into one structured format, with real-time reporting for finance leadership.

What This Means

Validate against the BOQ, not the invoice.

Ninety crores caught before they left.

Four years, zero shortcuts.

Outcomes

Rs. 4,722.42 Cr

Total value validated

Across 10,600 bills spanning PO-based, Non-PO, and Sustaining CapEx categories.

Rs. 70.84 Cr

Erroneous payments prevented

Identified and blocked through meticulous, bill-by-bill validation.

10,600

Bills validated

Every one cross-checked against PO terms, BOQ, LD, and retention controls.

100%

Compliance coverage

Every disbursement validated against PO terms, BOQ, LD, retention, and advance adjustment controls.

Get in touch

Is your capital project spend governed, or just disbursed?

Speak to Sthiros about what a structured disbursement authorisation framework can unlock for your capital project.

Connect with us:
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